EXECUTIVE OFFICE OF THE PRESIDENT
OFFICE OF THE U.S. TRADE REPRESENTATIVE
(USTR)

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SECTION 301 INVESTIGATIONS OF ACTS, POLICIES, AND PRACTICES OF VARIOUS ECONOMIES RELATED TO THE FAILURE TO IMPOSE AND EFFECTIVELY ENFORCE A PROHIBITION ON THE IMPORTATION OF GOODS PRODUCED WITH FORCED LABOR

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WEDNESDAY
APRIL 29, 2026

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The Public Hearings were held at the U.S. International Trade Commission, Main Hearing Room, 500 E Street SW, Washington, D.C., at 10:00 a.m., Megan Grimball, Section 301 Committee Chair, presiding.

PRESENT

MEGAN GRIMBALL, USTR, Chair
JENNIFER OETKIN, USTR
SARAH BONNER, Small Business Administration
BETSY CHERNOV, Small Business Administration
CYNTHIA ECHEVERRIA, Department of Homeland Security
RACHEL HASANDRAS, USTR
BRIAN HOXIE, Customs & Border Patrol
STU HUFFMAN, Department of State
JESSICA HUANG, Department of Commerce
KATY MASTMAN, USTR
NATE REID, Department of Homeland Security
BONNIE RESNICK, Department of the Treasury
CRISPIN RIGBY, Department of Labor
ANDREW STEPHENS, Department of Agriculture
GRACE YANAGAWA, USTR
ANNE YU, Department of Health & Human Services

WITNESSES PRESENT

ERNESTO ACEVEDO FERNANDEZ, Ministry of Economy, Mexico
ASHLEY AMIDON, International Wood Products Association
RUSSELL BATSON, Polyurethane Foam Association
AMBASSADOR HUGO BETETA, Government of Guatemala
JOSE LUIS CASTILLO MEZARINA, Ministry of Foreign Trade and Tourism, Peru (MINCETUR)
NGOC HUNG DO, Government of the Socialist Republic of Viet Nam
LAURA EL-SABAAWI, Coalition of American Millwork Producers
DUANE FEAGLEY, Pennsylvania Anthracite Council
GEORGE HERMINA, Hermina Law Group, on behalf of the Government of Egypt
DARRELL KEELING, AHF, LLC
RANITYA KUSUMADEWI, Government of The Republic of Indonesia
JAMES J. NEDUMPARA, Centre for Trade and Investment Law, on behalf of the Government India
LEON ROLDOS, Ministry of Production, Foreign Trade, and Investments, Ecuador
AMBASSADOR RIZWAN SAEED SHEIKH, Government of Pakistan
KHURRAM TARIQ, Pakistan Readymade Garments Manufacturers and Exporters Association
MICHAEL WALDRON, Vantage Specialty Chemicals
WADE WOLF, The Chemours Company
MICHELLE Q. ZANG, China Chamber of International Commerce

ALSO PRESENT

TYRELL BURCH, International Trade Commission
PRISCILLA THOMPSON, International Trade Commission

T-A-B-L-E O-F C-O-N-T-E-N-T-S

P-R-O-C-E-E-D-I-N-G-S

(10:01 a.m.)

MS. GRIMBALL: Good morning and welcome. The Office of the United States Trade Representative, in conjunction with the Interagency Section 301 Committee, is holding these public hearings in connection with the Section 301 investigation of acts, policies, and practices of various economies related to the failure to impose and effectively enforce a prohibition on the importation of goods produced with forced labor.

The United States Trade Representative initiated these 60 investigations on March 12, 2026. A notice of initiation was published in the Federal Register on March 17th, 2026. That notice invited written comments on investigations and announced these hearings. Specifically, the March 17th notice invited comment on a number of issues relating to whether the act, policies, and practices under investigation are actionable under Section 301 of the Trade Act of 1974, as amended.

Actionable matters under Section 301

include acts, policies, and practices of a foreign country that are unreasonable or discriminatory and that burden or restrict U.S. commerce.

In addition to comments on actionability, USTR requested comments on what action, if any, should be taken to address actionable matters. The March 17th notice is available on the USTR webpage under the Section 301 Investigations page and is published in the Federal Register at 91 FR 12884.

The purpose of these hearings is to receive public testimony regarding the issues raised in the March 17th notice. The Section 301 Committee will carefully consider today's testimony and all written comments in response to the Federal Register notice, including post-hearing rebuttal comments. All written comments, including post-hearing comments, are due May 6th, 2026.

After the Section 301 Committee has completed its work, the Committee will make recommendations to the U.S. Trade Representative on whether the acts, policies, and practices under investigation are actionable under the statute.

If the Trade Representative determines under the statute that the acts, policies, and practices are actionable, the Trade Representative will determine if action is appropriate and, if so, what action to take under Section 304 of the Trade Act. These determinations on responsive action will involve an additional opportunity for public comment.

We are pleased to be joined by international trade and economic experts from a range of U.S. Government departments and agencies today. If you would all introduce yourselves, beginning to my right.

MS. MASTMAN: Good morning. I'm Katy Mastman. I'm the Assistant USTR for Labor Affairs.

MS. HUANG: Jessica Huang, International Trade Administration of the Department of Commerce.

MS. YU: Good morning. Anne Yu with the U.S. Department of Health and Human Services from our Office of Health and Trade.

MR. HUFFMAN: Good morning. Stu Huffman, U.S. Department of State, Office of Multilateral Trade Affairs.

MR. HOXIE: Brian Hoxie, U.S. Customs and Border Protection.

MS. BONNER: Sarah Bonner, U.S. Small Business Administration, Office of Manufacturing and Trade.

MS. RESNICK: Bonnie Resnick, Treasury Department, Office of Trade and Investment Policy.

MR. RIGBY: Good morning. Crispin Rigby, Department of Labor's Office of Trade and Labor Affairs.

MR. STEPHENS: Andrew Stephens, U.S. Department of Agriculture, Foreign Agricultural Service.

MS. GRIMBALL: And I am Megan Grimball, Senior Associate General Counsel from USTR and Chair of the Section 301 Committee.

Before we proceed with the first panel of the day, Panel 8, I will provide some procedural and administrative instructions. These hearings are scheduled for two days, concluding today, Wednesday, April 29th. We expect these hearings to conclude earlier in the afternoon.

Today, we will have four panels of witnesses, with 19 individuals scheduled to testify. The provisional schedule has been posted to the USTR website. We will have a brief break between panels and we'll plan to take a one-hour lunch break from 12:50 to 1:50.

Please be aware that if you exit the building for lunch, you will have to go through security to return for the afternoon portion of the hearings. In order to keep to the schedule, we encourage witnesses on the panel following the lunch break to return to the building 15 to 20 minutes prior to the conclusion of the lunch hour to account for the security line.

Each witness appearing at the hearing is limited to five minutes of oral testimony. The light before you will be green when you start your testimony. Yellow means you have one minute left and red means that your time has expired. A member of our staff will remind you when your time has expired and we ask that you promptly conclude your testimony at that time.

After the testimony from each panel of witnesses, the Section 301 Committee will have an opportunity to ask questions. In some cases, questions may be directed toward more than one witness or to the entire panel. All questions will be from the department/agency representatives. There will be no questions accepted from the floor.

These hearings are being conducted in English. Witnesses are welcome to use their own translator if needed. Please advise a member of our staff out front if you intend to use translation services so that we can make appropriate accommodations at the table.

Given the number of witnesses and the schedule, we request that witnesses when responding to questions be as concise as possible. We likewise ask witnesses to be understanding if and when a member of our staff asks that you conclude your testimony or response. In this regard, witnesses should recall that they will have a full opportunity to provide more responses -- extensive comments, rather, in their post-hearing submission.

No cameras or video or audio recording will be allowed during these hearings. These proceedings are not being live-streamed. If you are observed recording these proceedings, you will be asked to stop. Although recording is not allowed, a written transcript of this hearing will be posted on the USTR website as soon as possible after the conclusion of the hearing.

The March 17th notice indicated that post-hearing comments will be due seven days after the last day of the public hearing. Because these hearings are lasting two days, post-hearing comments, including any written comments to questions from the Government panel, are due May 6th, 2026. The rules and procedures for written submissions are set out in the March 17th notice.

We will now proceed with the first panel of the day, Panel 8.

Ambassador Sheikh, you have the floor.

AMBASSADOR SHEIKH: Thank you, Madam Chairperson. I am Rizwan Saeed Sheikh, the Ambassador of Pakistan to the United States, and

I am making this statement on behalf of my government.

Madam Chairperson, members of the Committee, excellencies, ladies and gentlemen, it is my privilege to represent the Government of Pakistan at this important public hearing being conducted by the United States --

MR. BURCH: Ambassador, may you please move your microphone closer to you?

AMBASSADOR SHEIKH: Is this better?

MR. BURCH: Yes.

AMBASSADOR SHEIKH: Okay. I'm making this statement on behalf of the Government of Pakistan. It is my privilege to represent the Government at this important public hearing being conducted by the U.S. Trade Representative, USTR, and reaffirm commitment to protecting fundamental labor rights, maintaining fair trade environment, and economic relationship with the United States.

Let me share at the outset that the bilateral trade between Pakistan and the United States witnessed a robust growth in recent years.

The United States remains Pakistan's single largest country export destination. Pakistan is working constructively with the U.S. to finalize bilateral trade agreements and it is at an advanced stage of negotiation.

However, it is our considered position that the initiation of investigation under Section 301 of the Trade Act is unwarranted, and there is no evidence shared which could support that Pakistani goods are either produced with forced labor inputs and/or are integrated to its supply chain or resulting in any burden, discrimination against U.S. goods, or restricting U.S. commerce.

Pakistan has already established a robust legislative and enforcement mechanism against forced labor. The Constitution of Pakistan and statutory frameworks at the federal and provincial levels explicitly provide that forced labor, trafficking in human beings, and slavery are prohibited, and obligate the state to ensure the elimination all forms of exploitation.

Pakistan ensures adherence to core

conventions of the International Labor Organization, ILO, to prevent forced labor in all its forms. The most significant recent development is Pakistan's verification of the Protocol of 2014 to the Forced Labor Convention 1930. It was accomplished in March 2025 and it requires states to take effective measures to prevent forced labor and strengthen due diligence and supply chain obligations in all modern forms.

Further, and most significantly, verifiable demonstration of Pakistan's commitment to labor-related matters is its sustained qualification under the EU GSP+, which ensures the effective implementation of 27 core international conventions, including those related to the prevention of forced labor.

Pakistan is the world's fifth largest cotton producer and the second larger importer of U.S. cotton, which are primarily used in our major exports of apparel and textile goods to the U.S. Pakistan is also the third largest producer of Better Cotton globally and making concerted endeavors to drive a meaningful transition towards regenerative, organic, and sustainable cotton production to align with global regulations on supply chain traceability, promoting responsible farming practices, strengthening of farmer livelihoods, and embedding environmental stewardship.

Pakistan exports, mainly textiles and apparel, drive their competitive advantage from the vertically integrated supply chain and locally procured inputs, which are preferred by international brands and retailers due to a high degree of transparency.

Traceability and socially compliant input materials for the export of cost effective furnished goods support U.S. brands, retailers, and consumers. Our goods are competitively priced on actual factor costs, with no reliance on artificially suppressed labor inputs.

Additionally, Pakistan has made notable progress through independent audits, third party certifications, and multi-stakeholder initiatives, such as Decent Work and Better Work country programs, to ensure transparency in the supply chains and prohibit forced labor.

Madam Chairperson and Committee members, Pakistan has been exporting goods to the United States without any finding against them on forced labor grounds, which establishes that its exporter-oriented sectors do not produce goods with any forced labor inputs. While Pakistan maintains strict enforcement of eliminating forced labor at all levels, including the industrial manufacturing level, the Government is also aligning its trade-related regulations --

MS. GRIMBALL: Ambassador, your time has expired.

MR. SHEIKH: I'm just half a minute short of ending, if you will allow that.

MS. GRIMBALL: I'm sorry.

MR. SHEIKH: Okay, we'll have the written submission made on record, the full statement.

MS. GRIMBALL: Absolutely.

MR. SHEIKH: Thank you, madam.

MS. GRIMBALL: Thank you.

Mr. Tariq, you have the floor.

MR. TARIQ: Madam Chairman and members of the Section 301 Committee, good morning. My name is Khurram Tariq. I'm the chairman of Kay & Emm's (Private) Limited, Pakistani apparel manufacturer that exports directly to the United States. I appear before you today not merely as an individual exporter, but as a representative voice of Pakistan's broader apparel and textile industry that employs millions of Pakistanis, sources and processes American cotton, and has built a three-decade compliance partnership with the leading U.S. brands and retailers.

Pakistan is committed to constructive engagement with the United States on this investigation. Pakistan's public and private sector is well-represented here, as we believe this committee deserves a clear, evidence-based picture of Pakistan's actual posture on forced labor, one that is meaningfully different from the characterization in the notice of initiation.

Pakistan's legal and policy framework, I respectfully submit that the investigation notice does not identify any specific act, policy, or practice of Pakistan that permits forced labor in the statutory sense.

Section 301 requires the persistent pattern of conduct. Critically, Pakistan ratified ILO Protocol of 2014 with forced labor number -- Protocol 29 in March 2025, which strengthens the supply chain due diligence and precisely the kind of progressive commitment required.

Pakistan has maintained EU GSP+ status since 2014, with all 27 core international conventions, including those on forced labor. This is not self-certification. This is independently verified by the European Commission. And, most significantly, Pakistan is in the process to impose a prohibition on the importation of goods with forced labor in its import policy order.

This is precisely what Section 301, Subsection A2, Subsection (b) identifies as sufficient grounds for the Trade Representative not to impose any punitive measures. Pakistan is not absent from the process. It is actually engaged in it.

The U.S. Customs and Border Protection's own UFLPA enforcement data establishes that no withhold release orders, WROs, are ever issued against any Pakistani company and bulk commercial shipments from Pakistan remain free of forced labor imports.

USITC's own 2024 investigation into apparel sector competitiveness, Investigation No. 332-602, found that Pakistan generally has a good reputation among U.S. buyers for social and environmental responsibility and that U.S. sourcing representatives especially cited Pakistan vertically integrated and domestically traceable cotton supply chain as a compliance advantage in the context of UFLPA.

Pakistan's apparel export factories operate under different compliance structures, naming RAP (phonetic), SA8000, BSCI, CDEX (phonetic), GOTS, and Better Cotton Initiatives, which are independently audited at the request of U.S. brands we serve.

Tariffs from Pakistan would affect bilateral trade. Pakistan is the second largest importer of U.S. cotton in the world, approximately $4 billion purchased over the last five years. Our factories take American fiber, process it in 35 compliant facilities, and deliver it to American brands and retailers as finished goods that U.S. consumers depend on. This is not a relationship that competes with U.S. production. It complements it.

Pakistan produces cotton bed linen, towels, hosiery, and ready-made garments, product categories not manufactured at commercial scale in the United States. Cost of tariffs would affect American retailers and brands and ultimately be passed on to the American consumers. The U.S. brands that source from Pakistan and who have invested in our compliance infrastructure would be at cost for a risk that the data does not justify.

We respectfully submit that no trade

restriction action is warranted against Pakistan under this investigation, keeping into consideration the actual Pakistan trajectory. We urge USTR to and textile sectors as a model of supply chain compliance and traceability that actively adheres to global labor standards and supports the U.S. commercial interests.

Further, the Government of Pakistan is also in the process to enact formal labor import prohibition, as well as to finalize a bilateral trade agreement between the two countries. We stand ready to provide any additional information the Committee requires and to engage constructively in any consultations that USTR wishes to convene. Thank you.

MS. GRIMBALL: Thank you, Mr. Tariq.

Ms. El-Sabaawi, you have the floor.

MS. EL-SABAAWI: Good morning. I'm Laura El-Sabaawi from Wiley Rein and I'm testifying today on behalf of the Coalition of American Millwork Producers. Thank you for the opportunity to testify and for your hard work on these investigations into the importation of goods produced from forced labor. I will focus my comments today on the use of forced labor in the foreign production of wood moldings and millwork products.

The Coalition is comprised of various large and small wood moldings and millwork producers from across the United States. These companies include Brightwood Corporation, Cascade Wood Products, Endura Products, Menzner Lumber & Supply Co., Pacific Wood Laminates, Sierra Pacific Industries, Sunset Moulding and Woodgrain Millwork. They are part of a quintessential American industry, manufacturing a variety of wood and wood-derivative moldings and millwork products, including door frames, window casings, crown moldings, and baseboards.

This domestic industry is all too familiar with U.S. trading partners who fail to play by the rules. Over the years, the U.S. wood product sector has suffered tremendous harm. including facility closures, production curtailments, and job losses.

due to rising unfairly priced U.S. imports. Conditions got so bad that in 2020 the Coalition successfully filed trade cases targeting wood moldings and mill products from China, which resulted in the imposition of antidumping and countervailing duties one year later.

While these duties have helped, the unfair trade has, to some extent, shifted, with U.S. imports of wood moldings and millwork products, which are not subject to the current Section 232 tariffs on wood products, moving to other sources.

In recent years, the Coalition has seen a surge in low-priced U.S. imports of wood moldings and millwork products from countries like Brazil, Vietnam, Cambodia, Malaysia, Indonesia, and Mexico. These increased imports are a direct result of rising excess capacity, which has been driven in large part by trade-distortive measures in these countries, including the failure to effectively prohibit the import of goods produced using forced labor.

The failure to effectively address forced labor, in addition to the major ethical implications, suppresses labor costs and provides an unfair competitive advantage to foreign producers. As the Coalition details in its comments to USTR, a number of countries have failed to adopt adequate trade protections against inputs made with forced labor. The Chinese Government, for example, represses internationally-recognized labor rights, fails to adequately enforce existing prohibitions on forced labor, and engages in state sponsored forced labor.

The U.S. Government has expressed concerns that neither Vietnam nor Brazil ban the importation of goods produced from forced labor. For its part, Mexico does not appear to be enforcing its forced labor import prohibition. In fact, Customs maintains at least two active withhold release orders against Mexican companies for using forced labor.

In closing, despite recent steps taken to strengthen the forced labor laws in the United States, many U.S. trading partners, including

China, Brazil, Vietnam, and Mexico, have failed to adopt similar policies, allowing forced labor goods to enter into their own countries and be funneled into products later exported to the United States. As a result, comprehensive 301 measures should be imposed to address these unfair trade practices. Thank you.

MS. GRIMBALL: Thank you, Ms. El-Sabaawi.

Ms. Amidon, you have the floor.

MS. AMIDON: Thank you, Chair, and members of the Section 301 Committee. My name is Ashley Amidon and I'm the CEO of the International Wood Products Association, which is the leading trade association for the North American international wood products industry. We advocate for the growth and acceptance of responsible, ethical, and sustainable forest products sourced globally, while supporting communities, trade, and consumers. We greatly appreciate the opportunity to testify, as this investigation has the potential to dramatically reshape the United States' global trading relationships.

Let me begin by saying the IWPA is committed to legality, and, specifically, we oppose the use of forced labor in the wood products supply chain. We take our responsibility seriously to ensure that wood products are produced in compliance with a holistic legal framework, as our industry knows that compliance with one law often reinforces compliance with others, including the Lacey Act, TSCA, FCPA, or UFLPA. Every instance of illegality undermines the legitimate sustainable trade that our members practice every day.

IWPA is fully committed to working with government and industry partners to ensure that criminal behavior, including forced labor, is eliminated from global supply chains. We promote legality through an extensive suite of educational resources focused on the legal and regulatory obligations under the numerous national and international requirements governing wood products. Our award-winning online and in-person Lacey Act training was even made recently available for free to all regulated industries through a USDA

APHIS grant.

We do this because American businesses importing wood are legally required to conduct due diligence into their supply chains. These industry-led compliance efforts, such as extensive on-the-ground audits, raise labor, environmental, and regulatory standards throughout global supply chains.

Access to the American market is itself a powerful tool against the use of forced labor. Decoupling from global markets only reduces incentives for other countries to enforce or implement anti-forced-labor provisions, and tariffs would only add to the costs for American businesses and consumers.

While IWPA strongly supports efforts to combat forced labor, we do not believe broad, global tariffs, particularly on already heavily regulated industries, are an effective mechanism to do so. Tariffs would punish industries that strive for compliance and fail to meaningful reduce instances of forced labor. We urge USTR to prioritize alternatives, such as dispute resolution processes under existing international treaties and international capacity-building initiatives.

If tariffs are ultimately imposed, we asked that they be carefully structured, and I would suggest the following recommendations. First, exempt naturally unavailable species. Many internationally-sourced wood species have no domestic alternative and cannot be grown in the United States. President Trump has wisely exempted such products under Section 122 and previously under the IEEPA tariff regime. This committee should do the same.

Many species of international wood are chosen for specific performance characteristics which are not found in any North American species. An example is certain tone woods used in musical instrument manufacturing. Cutting off access to these inputs would significantly harm American manufacturing and artistic competitiveness.

Second, prevent duty stacking. Goods already subject to other duties, such as Section

232 measures, should be excluded from any new action. A de-stacking mechanism is essential to ensure cumulative duties do not exceed what is needed to achieve the policy's intended goals.

Third, phase in duties gradually. As USTR has recommended in prior cases, including the Chinese shipbuilding investigation, a phase-in period allows businesses to incorporate new costs into long-term purchasing and operational decisions. If a phase-in is not feasible, an in-transit exception for goods already en route should be established.

Fourth, exclude USMCA-eligible goods. Allegations of deficient labor practices involving USMCA partners should be pursued through the treaty's established dispute resolution process.

Fifth, establish country-specific benchmarks and an off-ramp. This committee should set clear, country-by-country standards for improving labor practices, along with a transparent process for reducing duties on countries that demonstrate meaningful progress. This creates strong positive incentives for compliance with U.S. labors standards.

Finally, we urge the Committee to ensure a full comment period prior to implementing any proposed action. This second comment period will allow stakeholders to assist USTR by identifying additional ways to more effectively target forced labor while protecting the broader American economy. IWPA believes that it is essential for industry and government to partner together to advance the American economy and to ensure that good policies, such as continuing to exclude products of forced labor from our shelves, are realized.

Thank you for your time and I look forward to answering any questions you may have.

MS. GRIMBALL: Thank you, Ms. Amidon.

Mr. Keeling, you have the floor.

MR. KEELING: Thank you. Good morning. My name is Darrell Keeling. I'm Chief Operating Officer with AHF, LLC. We're a hard surface flooring producer and provider to the industry. We operate 11 facilities domestically and one in

Cambodia. And I thank you for the opportunity to testify this morning.

Forced labor is insidious and abhorrent. And, as USTR recognizes in this investigation, it's a crime that has no borders. Unless and until countries and, critically, companies step up to police them. AHF, LLC is an American company and a manufacturer that is committed to high standards. Our workers should not have to compete against products made with forced labor. Through smart action in this investigation, USTR can leverage the resources of companies like AHF to advance the global fight against forced labor and make a real difference in the lives of people around the world.

In particular, USTR should focus efforts on those that do not take measures to ensure their supply chains comply with all applicable laws and industry standards. Forced labor thrives where unscrupulous actors can economically benefit from it. The goal must be to deprive these actors of their competitive benefit.

An approach that penalizes equally

businesses that have high standards and those that may use forced labor does not change the economics. For example, if you apply a flat tariff to all products from a particular country, every company may be absolutely disadvantaged, but the comparative benefits secured by those who exploit forced labor still remain. Indeed, exploiting forced labor may become even more lucrative if the legitimate business who spends more to keep their supply chains clean are struggling.

AHF proposes USTR adopt a granular analysis in this investigation to determine what particular companies are doing to make sure their supply chains are clean. For AHF, we have one overseas facility in Cambodia that makes the type of engineered wood flooring that we cannot economically produce in the United States. AHF has ensured through various actions that the high labor standards that we apply here in the U.S. apply to our Cambodian facility, too. We also have implemented U.S. OSHA safety standards in that facility.

These actions include: having an experienced managing director at our facility onsite -- he's an American and a decorated U.S. Army veteran who served in Iraq; establishing policies and enforcing them, including by conducting internal trainings; requiring contractual obligations from our suppliers to follow the laws and standards in conducting audits to make sure that that is, in fact, the case; and we use a third-party company, Zimmfor Management Services, to make sure our supply chain is clean and compliant. These efforts ensure that AHF is not complicit, directly or indirectly, with those that use forced labor.

There are numerous other actors who do not, because they cannot, make these types of robust efforts to monitor their overseas production and supply chain. Unfortunately, many of them operate in sectors where forced labor is particularly a problem. USTR should treat these actors differently than those that are doing the right thing, like AHF. To do this, AHF encourages USTR to consider three approaches.

First, focus on taking action that reduces the comparative advantage of companies that use forced labor by ensuring companies that do the right thing are not penalized. This is not without precedent. The United States applies antidumping and countervailing duties on a company-specific basis if a company can show that it works hard to keep its supply chains clean. It should be treated better. If a company can't, well, then it should pay the cost of what effectively is a subsidy. A failure to ensure labor laws will follow.

Second, USTR should focus on actions on sectors that present greater risk of forced labor. As U.S. Customs and Border Protection's work with respective withhold release orders demonstrates, forced labor is prevalent in low value chain products that do not require sophisticated training of workers. In AHF's experience, flooring is not one of these sectors. Workers who manufacture flooring need technical skills, trainings to operate advanced machinery, maintain quality control, and handle materials with precision. We know because we train our workers well and our turnover is low in our factory in Cambodia.

Third, USTR should provide better treatments to countries such as Cambodia that have entered into agreements on reciprocal trade, ART agreements that have strong forced labor provisions. Those countries that have demonstrated they're ready to work with the administration. Providing them better treatment will incentivize the other countries into such agreements with the United States as well.

In conclusion, AHF appreciates the work USTR is doing as well as the opportunity to testify here today. We respectfully demand action against those who fail to act and support those that do the right thing. Thank you.

MS. GRIMBALL: Thank you, Mr. Keeling.

We'll now proceed with questions from the Government panel.

MR. STEPHENS: I have a question for Mr. Sheikh, Ambassador Sheikh.

Your written comments indicate that

Pakistan has initiated the process to impose prohibitions on imports of goods manufactured by forced labor under the import policy order. Does the Government of Pakistan currently have the legally authority to investigate use of forced labor in the production of imports and to bar the entry of those goods into Pakistan markets? And what actions has Pakistan taken, if any, to investigate and prohibit the entry of imported goods made with forced labor?

AMBASSADOR SHEIKH: Thank you for the question. Let me highlight that, as has been mentioned in the statement, Pakistan is not only signatory to the ILO framework, which prohibits forced labor, but, as I mentioned, we recently, in 2025, basically signed the Protocol of 1930, Forced Labor Convention 1930, we find the Protocol of 2014 attached to it, which requires states to take effective measures to prevent forced labor and strengthen due diligence in supply chain obligations in all its modern forms.

And there is even a recent legislation,

a recent SRO that has been issued, and a copy of that can be provided, with a view to enforcing this mechanism and initiating any inquiries or demands with regard to any observance of practice which is not in consonance with these conventions and with the Constitution of Pakistan that prohibits such practices. But Pakistan is in a position to initiate that process, but exact specific language that is there can be afforded in post-hearing submissions.

MR. STEPHENS: That would be great. Thank you very much.

MS. HUANG: Good morning. My question is for Khurram Tariq. Apologies if I mispronounced your name.

In PRGMEA's written comments, the written comment lists industry certifications and standards that are described as driven by prior protocols. The comment also states, in quotations, all of our member companies and exporters of apparel follow government-set import policy order which clearly prohibits importation of materials which are made by forced labor known companies."

Can you please identify and describe the import policy order in the public comments?

MR. TARIQ: Well, the import policy order was just mentioned by the Honorable Ambassador. The import policy order amendment has recently been issued, which the Ambassador just mentioned, and a copy will be provided to you.

However, I would like to mention that our compliance is not aspirational. It's actually operating baseline, so when American buyers, they enforce through when they write their purchase orders. So they enforce through nominated sourcing. So they already do the due diligence if something needs to come from a third country, which in Pakistan's case is very limited because most of the imports are domestic. So that is all well set in stone. And the copy will be provided.

MS. HUANG: Thank you.

MR. TARIQ: Thank you.

MR. STEPHENS: For Laura El-Sabaawi, in your written comments, you discuss the use of forced labor in wood moldings and millwork products. How has the competition with goods produced with forced labor impacted U.S. millwork producers in third country export markets? And please provide country-specific export market examples.

MS. EL-SABAAWI: I can provide more specifics, I think, in a post-hearing submission, but the primary impacts would be on their costs. Labor is a rather significant portion of the cost of wood molding and millwork production. And, of course, if you're not paying decent wages and abiding by forced labor prohibitions, either yourself or if those producers are importing inputs into their countries that were produced with the use of forced labor, then they are paying lower costs for those inputs.

So, those cost advantages have a big impact, and we see that when those goods are later shipped to the United States. They're being sold at very low prices and it makes it really difficult for U.S. wood moldings and millwork producers to compete with that when we are paying appropriate wages, paying appropriate costs for our inputs. It just really distorts the playing field.

MR. STEPHENS: Thank you.

MS. RESNICK: This question is for Ms. Amidon. Your submission recommends establishing clear, country-specific benchmarks regarding forced labor that must be met before duties are reduced. What should those benchmarks look like in practice and how can they be designed to ensure meaningful progress on forced labor?

MS. AMIDON: Thank you so much for the question. And I'm happy to provide, of course, more detail in a post-hearing submission. But I would way that would best be determined in bilateral discussions between those nations. Every nation, as I think has been remarked upon, is going to be a different case, and so to apply a uniform, one-size-fits-all would probably not be the best path forward, whether that's, quite frankly, for tariffs or for benchmarks.

We would support that discussion to be had individually. And we feel there's actually been a couple good examples that have happened in the past when it comes to ways that countries have worked together. The Peru Trade Promotion Agreement has an environmental chapter, specifically a forest sector annex, and it requires Peru to perform audits, verification. There's a role that the United States plays in that, both in terms of being able to request specific verification of companies, as well as to prohibit trade. So we feel that something like that could be a very good roadmap. But, again, we would recommend that that's a bilateral discussion, country by country.

MS. YU: The next question is for Darrell Keeling. In your submission, you mention that Cambodia has acted against forced labor within the country. Can you provide examples, especially examples in the manufacturing sector, where you have seen Cambodia act against forced labor?

MR. KEELING: Thank you for the question. I'm going to gather my thoughts here. In the manufacturing sector itself, I do not personally have an example of that. I know in other sectors that are active in Cambodia, where they have really gone after the illegal gambling and things like that, they have made a very big dent in that and a lot of progress along those lines.

The manufacturing area where we operate tends to rely on employees that need to be there for long periods of time to gain the skills and be able to execute the plan well. And so you typically don't end up with the forced labor issue in the areas that we're operating in.

MS. YU: Thank you.

MS. GRIMBALL: Thank you to all the witnesses on Panel 8 for your testimony. Before I release this panel, I just wanted to make one additional announcement. This morning I referenced the schedule that had been posted on USTR's website. That schedule does have five panels scheduled for today. We are actually going to have just four panels together. There will only be one panel after lunch. You may have noticed that two of the witnesses from the last panel of the day are actually on this panel, and we moved another witness around, so we're only going to have four panels this morning.

We will take a five-minute break between this panel. And let's have Panel 9 join us at 10:50. Thank you.

(Whereupon, the above-entitled matter went off the record at 10:43 a.m. and resumed at 10:50 a.m.)

MR. BURCH: Would the room please come to order?

MS. YANAGAWA: Good morning. We have a number of new panelists on the panel, so if I could have the government representatives please start with their introductions for people on my right?

MS. MASTMAN: Sure, hi. I’m Katy Mastman. I’m the Assistant USTR for Labor Affairs.

MS. HUANG: Jessica Huang of the International Trade Administration of the U.S. Department of Commerce.

MS. YU: Anne Yu with the U.S. Department of Health and Human Services in our Office of Trade and Health.

MR. HUFFMAN: Stu Huffman, U.S. Department of State, Office of Multilateral Trade Affairs.

MS. ECHEVERRIA: Cynthia Echeverria with the Department of Homeland Security.

MS. CHERNOV: Betsy Chernov, Director of Office of International Affairs and Trade Policy with the Office of Manufacturing and Trade, Small Business Administration.

MS. RESNICK: Bonnie Resnick, Department of Treasury, Office of Trade and Investment Policy.

MR. RIGBY: Crispin Rigby, Department of Labor, Office of Trade and Labor Affairs.

MS. YANAGAWA: And I'm Grace Yanagawa, Assistant General Counsel with USTR.

We will now proceed with Panel 9.

Mr. Waldron, you have the floor.

MR. WALDRON: Good morning, and appreciation to the panel for having us and hearing our testimony this morning. My name is Michael Waldron. I'm Senior Vice President of Corporate Affairs and Sustainability for Vantage Specialty

Chemicals. On behalf of our entire industry, we appreciate the USTR's initiation of this Section 301 investigation.

Vantage and our affiliates are one of the largest producers of oleochemicals in the United States. These products are largely made from natural fats like beef tallow, oils, soy, canola, and are -- that are produced by American farmers and ranchers. The oleochemicals are found in products across the U.S. economy, including pharmaceuticals, personal care and beauty products, human and animal nutrition products, and a wide range of products in industrial and transportation applications.

Vantage alone employs nearly 600 workers across our manufacturing footprint in Illinois, Pennsylvania, and Ohio. And our industry, as a whole, supports thousands of direct manufacturing jobs throughout the country and countless more indirect jobs.

In recent years, the domestic oleochemical industry has experienced material harm from cheap imports dumped into the U.S. at artificially low prices. One of the ways foreign producers achieve these prices is through their labor practices. In fact, several of the countries under examination have been found to use forced labor and child labor in the production of oleochemicals that are exported to the United States.

The most significant sources of these imported products are Indonesia and Malaysia. As you know, the Department of Labor, U.S. Customs and Border Protection, the International Labor Organization, and numerous NGO studies have found widespread use of forced labor and child labor practices. At the same time, these countries ignore international norms and fail to enforce their own laws outlawing these practices.

Indonesia and Malaysia's persistent failure to effectively prevent forced labor and child labor is not only legally and morally reprehensible, it also negatively impacts American workers, our industry, and the communities we operate in.

The impact of these practices on the U.S. industry and its workers is evident. As an industry, we've experienced declining capacity utilization, hundreds of layoffs, and multiple plant closures. In the past two years alone, two U.S.-based oleochemical producers have been forced to cease production.

While Vantage and others in the U.S. industry, including organized labor, are actively using our AD/CVD laws to combat this unfair trade, such laws alone are not sufficient to address the devastating impact of these practices. Antidumping and countervailing duty measures do not directly address the role of forced labor in the Indonesian and Malaysian oleochemical industries, and they do not prevent the goods produced under these conditions from entering the U.S. market.

This, therefore, is not simply a pricing issue; it's a trade distortion tied to our trading partners' continued use of unjustifiable methods of production that rely on forced labor. Accordingly, we urge the USTR to take appropriate action as part of these investigations.

The response under Section 301 must be commensurate with the scale and persistence of this distortion. It should include tariffs and other effective trade measures to address the ongoing harm caused by unfair oleochemical imports. More limited measures like the AD/CVD option will not be enough to address this problem at scale.

Any response should also account for the circumvention risk included in attempts to continue to ship oleochemicals that are the product of forced labor or child labor through downstream products and third country production.

In closing, oleochemical products are foundational inputs across the U.S. economy. They support thousands of jobs across the sector, including agriculture and downstream industries.

Indonesia and Malaysia’s use and tolerance of child labor and forced labor in their own oleochemical industries is well documented by the U.S. government, international organizations, and others whose integrity is beyond question.

These countries' oleochemical exports are actively harming U.S. oleochemical industries, company members, its workers, communities, and have led to layoffs, closures, and continued presence of these products in the United States. Without effective action, this harm will continue.

For these reasons, we respectfully urge USTR to take strong and effective action to stop imports of oleochemicals produced with forced labor and child labor, and force our trading partners to stop these abhorrent practices once and for all.

Thank you very much.

MS. YANAGAWA: Thank you for your testimony.

Mr. Batson, the floor is yours.

MR. BATSON: Good morning, members of the 301 Committee. I'm Russ Batson, I'm the Executive Director of the Polyurethane Foam Association. PFA is the trade group representing manufacturers of flexible polyurethane foam as well as the companies that supply them with chemicals and machinery equipment. Some of our members also make mattresses and upholstered furniture.

PFA supports the Administration's objective of strengthening domestic manufacturing and we agree that artificially low-cost inputs produced with forced labor unfairly disadvantage U.S. manufacturers and workers.

My remarks today focus on an unfortunate supply chain crisis facing our industry and we recommend that, should USTR determine that this investigation is actionable, that HTS Code 3907.29 covering polyether polyols be excluded from the scope of any additional duties imposed pursuant to Section 301.

In 2026, supplies of polyols -- I'll explain a little of what that classic chemicals is -- supplies of polyols in North America are greatly constrained due to the Middle East situation as well as a force majeure event declared by LyondellBasell at its Bayport, Texas facility. This plant produces propylene oxide, which is indispensable to producing polyol, which in turn is indispensable to producing polyurethane foam. This force majeure comes on top of the permanent closure of a Dow facility in Freeport, Texas. And the net effect of those closures has removed a substantial portion of the domestic PO capacity from the market.

Shortages of polyols predictably undermine the production of polyurethane foam and the broad range of consumer and industrial products that depend upon it. We learned this in 2021 during the supply chain disruption set in motion by Winter Storm Uri, which shut down key chemical facilities along the U.S. Gulf Coast.

That year, foam deliveries by some foam manufacturers were curtailed by 50 percent, and retailers of furniture and mattresses, two of the key foam in markets, reported higher prices for those products and months-long delays filling consumer orders.

The downstream economic value at risk in such situations is orders of magnitude greater than the value of the chemicals involved. And that’s because of the foam’s central role in consumer products that we touched upon, mattresses, upholstered furniture, carpet underlay, packaging, medical devices, and automotive interiors.

Facilities producing these goods employ tens of thousands of American workers. Additional duties on polyols would threatened production continuity, raise costs, and result in higher prices and reduced product availability for U.S. consumers. PFA recognizes that this situation is not the direct result of policy choices.

Nonetheless, in evaluating the appropriate scope of any Section 301 remedies, USTR should avoid measures that would worsen existing shortages and compound downstream economic harm. For these reasons, PFA respectfully requests that the Administration exclude HTS Code 3907.29 from the scope of any duties imposed via Section 301 in this investigation.

Thank you.

MS. YANAGAWA: Thank you for your testimony.

Mr. Wolf, please proceed.

MR. WOLF: Thank you. My name is Wade

Wolf. I’m the Senior Director for Trade Compliance for the Chemours Company, and thank you for the opportunity to testify today.

The Chemours Company strongly supports USTR’s use of Section 301 to confront forced labor, non-market practices, and supply chain vulnerabilities, and views this investigation as a key opportunity to reinforce American manufacturing leadership.

Chemours is a U.S.-headquartered manufacturer that has deliberately maintained the majority of its production and R&D in the United States while our competitors have offshored. Today, Chemours stands as the last domestic U.S. producer of several critical chemical materials that underpin strategic industries, including semiconductors, aerospace, energy, and advanced manufacturing.

Chemours also maintains rigorous and forceful prohibitions on forced labor across its operations and supply chain, embedding these standards in our contracts, our compliance systems, and requiring all partners to meet the high labor and sourcing standards consistent with the U.S. policy objectives.

Chemours supports the Administration's focus on reshoring production, securing supply chains, and countering China's nonmarket behavior. To advance those priorities, Section 301 tariffs should be targeted at finished goods manufactured outside the United States and imported into our country. These imported finished goods are the crux of the forced labor risks in the U.S. supply chain that harm American manufacturers like Chemours.

In the specialty chemical sector, foreign producers of finished goods from China and other jurisdictions benefit from lower forced labor standards and state-backed overcapacity and pricing distortions, enabling exports at artificially low prices that undercut U.S. producers. This, in turn, suppresses returns on domestic investment and deters the expansion of U.S.-based capacity in sectors critical to industrial and supply chain resilience.

Given this reality, the Section 301 tariffs on finished goods can be an effective policy intervention in the chemical sector. However, having said that, we'd like to make sure that we avoid unintended consequences on chemical inputs that will frustrate the Administration's trade policy priorities.

Chemours and other U.S. manufacturers rely on imported raw materials and intermediates that are essential to domestic production and often not available at the scale, quality, consistency, and needed in the U.S. These inputs are critical to producing high value goods across the sectors like semiconductors, advanced manufacturing, and energy systems.

If the goal is to support U.S. manufacturers and strengthen domestic production, imported raw materials and other manufacturing input should remain free of the Section 301 tariffs. Tariffs on these goods function as a direct tax on U.S. manufacturing, raising the input costs, reducing global competitiveness, and discouraging the investment in U.S. based production.

The targeted approach that I've described, tariffing finished goods while avoiding tariffs on manufacturing inputs that the U.S. chemical producers require, best aligns with the administration's economic and national security objectives. By strengthening the domestic production through smart, targeted tariff policy, the administration will support American workers and ensure that the U.S. chemical manufacturers can compete and win globally.

Thank you for your time.

MS. YANAGAWA: Thank you for your testimony.

Mr. Feagley?

MR. FEAGLEY: Thank you very much. My name is Duane Feagley, and I am Executive Director of the Pennsylvania Anthracite Council. I represent the only domestic source of anthracite coal, which is commonly known as hard coal, in the United States, a material that is essential to electric arc furnace, steel production, and, by extension, our national defense industrial base.

I have submitted written comments for the record on April 15th outlining serious concerns regarding labor enforcement, traceability, market impacts associated with anthracite imports from Peru. Today, I want to focus in on just one central issue: the pricing that we are seeing in this market cannot be explained by normal competition.

U.S. anthracite production is driven by four primary factors: energy, equipment, labor bonding, and environmental reclamation. Based on available information, there is no evidence that energy or equipment costs in Peru are materially lower than the United States at a level sufficient to -- that can explain current pricing. However, the data clearly shows that Peruvian anthracite is being offered at approximately $90 to $100 per short ton at the port, a level that is below the cost of production for U.S. operators.

That leaves only two remaining cost drivers capable of explaining that gap: labor costs and practices and environmental and reclamation obligations.

On labor, the U.S. Department of Labor has identified ongoing concerns regarding forced labor in Peru’s mining sector, including documented risks associated with informal and unregulated mining operations. These concerns align broadly with broader reporting across Peru’s extractive industries, particularly in industry sectors such as gold mining, where monitoring supply chains is difficult and enforcement has proven challenging.

While gold has received greater international attention, these conditions reflect structural issues across the mining sector as a whole, especially in regions where mining activities conducted outside formal regulatory, labor, and reporting frameworks are prevalent and oversight is limited.

In that context, the absence of a reliable mechanism for independent verification means that U.S. buyers cannot confidently determine whether imported anthracite or any similarly situated mineral is produced in compliance with internationally recognized labor standards.

Our environmental obligations, the United States producers operate under strict federal and state requirements, including bonding, reclamation, and long-term land restoration. These are real costs that must be paid as a condition of lawful operation. Imported material does not carry comparable obligations.

So, when we see a product entering the United States market at a price below the cost of lawful domestic production, the conclusion is straightforward. This is not a function of efficiency; it’s a result of costs that are not being paid.

This cost distortion is already having measurable impacts. In 2025, imports of Peruvian anthracite increased by more than 360 percent, reaching approximately 184,000 short tons and capturing roughly 17 percent of the U.S. electric arc furnace carbon market. During this same period, Pennsylvania anthracite employment decline with both direct jobs and a broader affiliated employment showing measurable reductions.

But this is not just an economic issue. Anthracite is a critical carbon input in electric arc furnace steelmaking. While alternative carbon sources such as coke breeze and petroleum coke do exist, they are not fully interchangeable without operational quality and cost trade-offs. These alternatives affect furnace efficiency, emissions, and steel quality and increased costs for reduced performance.

If domestic production is displaced by imports produced by under non-transparent or non-compliant conditions, the United States becomes dependent on a foreign supply chain for its critical industrial base. This introduces multiple risks to supply chain disruptions, regulatory risk if labor violations trigger enforcement actions, and strategic vulnerability in a sector tied directly to national defense.

Our domestic mining -- once our domestic mining capacity is idled, it cannot quickly be restarted. The loss of this warm base capacity is not theoretical; it is permanent, in many cases.

The record clearly shows demonstrated documented labor enforcement concerns, lack of traceability and verification, significant and sustained price undercutting, and measurable displacement of domestic production. Taken together, these conditions do meet the standard for action under Section 301.

Based on this record, we respectfully recommend that the U.S. Trade Representative consider targeted duties sufficient to offset cost distortions and enhance verification requirements for labor and origin compliance and appropriate enforcement measures to ensure fair competition.

When a product is sold below the cost of a lawful production in the United States, the question is not efficiency, the question is: what costs are not being paid?

Thank you for your time and we look forward to your questions.

MS. YANAGAWA: Thank you. We will now

proceed to questions from the Government panel.

MS. HUANG: Hello. My question is for Michael Waldron of Vantage Specialty Chemicals.

Regarding forced labor in Indonesia and Malaysia's oleochemical industry, does Vantage's concern focus only on factors producing oleochemicals and derivative products or does it also include coconut and palm oil farms that are supplying the feed stocks?

MR. WALDRON: Yes, thank you for the question. I would say our concern is very broad. One of the reasons for the price distortion and the low prices that the importers can charge in the United States is as a result of labor inputs, and that is related to feed stock upstream.

MS. HUANG: Thank you.

MS. ECHEVERRIA: Good morning, and thank you for your testimony. This question is for Mr. Batson and Mr. Wolf.

How has competition with producers using forced labor affected your companies? And what actions can the U.S. chemical industry take to accelerate reshoring of domestic key fluorochemical manufacturing and reduce reliance on imports from nations that do not effectively produce -- I'm sorry -- effectively prohibit use of forced labor in their supply chains?

MR. BATSON: I'll start. In applying to testify, we indicated a lack of expertise on forced labor. I was kind of surprised to be chosen for a panel, and our remarks are really confined to that critical shortage of propylene oxide that's impacting our industry.

I will confer with my members, though, and if there are some insights that we can share in the post-hearing comments, we'll do so.

MS. ECHEVERRIA: Thank you.

MR. WOLF: Thank you. I guess there's a couple ways to address this -- and we will also have full comments after this. But when I look at what it does to competition, when you when you have a compliance program, it costs money. You know, an ethical decision is free. But to design a program that tracks forced labor, enforces it, gives our operating structure the right -- and in our leadership, the right confidence that we're doing the right things all over the world, that costs money to maintain.

And when companies don't monitor forced labor and don't enforce it, they often weigh the cost of noncompliance versus how low of a cost can I get into a market. And there's just -- there's not a good barrier of enforcement there. And so I think, you know, one of the ways to combat that is through a tariff regime where the cost of enforcement is higher than the cost of non-enforcement.

And the direct question to, what would it take to reshore the chemical industry? It's a hard question that we've asked ourselves for years. And this goes back into it takes, you know, five to ten years from idea to implementation of a chemical plant. And there's some raw materials that just are not economically viable in the United States. And so, I don't know that there's a world where everything can be done here, but there's a way that we can do it effectively from a forced labor perspective.

MS. ECHEVERRIA: Thank you.

MS. YU: The next question is for Duane Feagley. In your testimony, you stated. under the Labor enforcement deficiency section. that, quote, these weaknesses are not commodity-specific and extend across the extractive sector, including Peru’s anthracite industry. As a result, it is our firm belief that similar risks exist within Peru’s anthracite supply chain.

Can you clarify, are you stating that child labor or forced labor issues extend into Peru’s anthracite industry and Peru’s anthracite supply chain? If so, are you able to provide specific evidence or examples of forced labor improves anthracite production?

MR. FEAGLEY: Good question. Thank you very much for the question. I’m not making any specific claims in that about special operators or shipments coming in or specific operations that are coming in. I’m simply pointing to the U.S.

Department of Labor findings identifying risks in the mining sector overall in Peru.

The key issue here is that, currently, there's no reliable mechanism for independent verification on which U.S. buyers can bring the stuff into the country with -- and determine its compliance.

And as I mentioned also earlier, when you look at the cost factors, at $95 to $100 a ton, it's coming in at less than what we can mine it for here in the United States.

So, there's got to be a reason for that, and if it's not going to be your fuel costs, and if it's not going to be your equipment costs, then it's got to be the labor costs and it's got to be the environmental reclamation costs that's making up the difference. That's sheer logic.

Again, I have no documentation at this time to point on that, but logic dictates that that's the issue.

MS. YU: Thank you.

MS. YANAGAWA: Thank you for

participating in today's hearing. This panel is released.

We will now take a five-minute break to set up for the next panel and we'll resume at 11:20.

(Whereupon, the above-entitled matter went off the record at 11:14 a.m. and resumed at 11:22 a.m.)

MS. YANAGAWA: Good morning. We will now proceed with Panel 10.

Mr. Fernandez, the floor is yours.

MR. ACEVEDO FERNANDEZ: Thank you. Distinguished members of the Section 301 Committee, on behalf of the Government of Mexico, we appreciate the opportunity to appear before you today.

Mexico rejects any suggestion that its acts, policies, or practices are unreasonable, discriminatory, or burdensome to U.S. commerce. Mexico reiterates that there is no legal or factual basis for including Mexico in the scope of this investigation. Therefore, we come with a strong conviction to make a clear request. Respectfully, we ask you to exclude Mexico from the Section 301 investigation on forced labor.

In supporting this request, I will emphasize the most critical comments submitted by the Mexican Government.

First, Mexico has built, implemented, and expanded a comprehensive system designed specifically to identify, investigate, and prohibit imports of goods produced with forced labor from any country.

Second, Mexico has taken substantial concrete and enforceable measures to prohibit and prevent importation of goods produced with forced labor, and continues to strengthen those measures in full alignment with the labor provisions which Mexico, the United States, and Canada agreed under Article 23.6 of the USMCA.

Third, Mexico maintains a robust legal and institutional framework prohibiting forced labor under Article 5 of the Constitution and Article 10 of the General Law to prevent, punish, and eradicate crimes related to human trafficking, which are implemented with a National Labor Inspection system and administrative and criminal enforcement provisions.

In fact, the U.S. Department of Labor recognizes Mexico's progress in strengthening its inspection systems, updating regulations, and increasing penalties, as you can read in the Labor Shield Report 2024.

Four, the USMCA forced labor mechanism is a top priority for the Mexican state. For this reason, the mechanism has been fully implemented, strengthened, and enhanced continuously to make it more accessible, transparent, and effective.

In 2023, the Mexican Government published the regulation of this mechanism, creating a formal procedure to identify, investigate, and restrict imports of goods produced wholly or partially with forced labor. In 2025, Mexico adopted amendments that substantially expanded the mechanism reach, and operability.

Fifth, Mexico has gone beyond regulatory reforms and has implemented at least six operational tools to strengthen the enforcement of the forced labor mechanism.

Those measures, I would emphasize only two of them, a comprehensive investigation protocol, ongoing coordination with the United States and Joint Technical Assistance Program between the Mexican labor, the Ministry of Labor and the Department of Labor of the U.S. And, of course, training programs with the International Labor Organization.

These measures are active, operational, and directly targeted at preventing forced labor produced goods from entering Mexico and North American market.

For this reason, Mexico respectfully makes a firm request to exclude Mexico from this investigation and recognize the extensive measures Mexico has already taken to prevent the importation of goods produced with forced labor.

In closing, Mexico expresses concerns regarding the potential negative impact of trade restriction resulting from this investigation. Unilateral trade would be inconsistent with the U.S.

obligation under the WTO and the USMCA. Mexico remains firmly committed to eradicating forced labor, protecting workers, and safeguarding the integrity of North America’s supply chain.

We look forward to continued cooperation with the United States to address current and future challenges our both nations may face.

MS. THOMPSON: Mr. Fernandez, your time has expired.

MR. ACEVEDO FERNANDEZ: Thank you.

MS. YANAGAWA: Thank you for your testimony.

Mr. Beteta, the floor is yours.

AMBASSADOR BETETA: Thank you, Madam Chair. Distinguished members of the 301 Section Committee, good morning. I’m Hugo Beteta, Guatemalan Ambassador to the U.S.

Guatemala maintains a clear and comprehensive legal framework prohibiting forced labor. This framework is continuously strengthened and refined to ensure its effectiveness. This prohibition is grounded on our constitution, including provisions on personal liberty and labor rights, as well as in the Labor Code, which establishes the voluntary nature of all employment.

The framework also aligns with Guatemalan international obligations, including the Forced Labor Convention of 1930 and the Abolition of Forced Labor Convention of 1957 of the International Labor Organization. And following the recently signed reciprocal trade agreement with the U.S. and Article 27, Guatemala is further strengthening its approach to addressing forced labor in the context of trade.

Taking all these elements together, Guatemala provides a coherent normative framework of labor international standards. Guatemala’s legal framework is complemented by strategic operational initiatives, particularly at the customs level, to address supply chain risks.

The Superintendency of Tax Administration maintains cooperation with the U.S. Customs and Trade and Border Protection, CBP, through mechanisms such as the Container Security

Initiative, the Authorized Economic Operator Manual Recognition Framework, the Customs Trade Partnership Against Terrorism, and the Business Alliance for Secure Commerce, BSAC, Certification system.

These frameworks incorporate supply chain flexibility, risk management tools, and validation processes for trusted operators.

While these instruments were not originally designed exclusively to address forced labor, they provide an existing platform that Guatemala is strengthening to address related risks.

At this stage, Guatemala continues to advance and refine its approach to enhancing institutional coordination and evaluating how these frameworks can be further adapted to prevent the importation of potentially -- of goods potentially linked to forced labor.

Against this background, Guatemala respectfully submits the following assessment under Section 301 investigation.

First, Guatemala approach does not amount to unreasonable or discriminatory conduct with respect to the matters under review, namely the existence and enforcement of measures to prevent the information -- importation of goods produced with forced labor.

Second, based on available information, Guatemala has identified no evidence or adverse effects on U.S. commerce such as reduced exports, price distortions, or negative impacts on U.S. workers.

Third, Guatemala considers that ongoing efforts and engagement provide a constructive basis to continue addressing these issues and that, in these circumstances, imposition of additional duties or restrictions will be unnecessary and disproportionate.

In light of the above, Guatemala considers that the conditions for action under Section 301 are not met. Guatemala reaffirms its commitment to addressing forced labor and the continued strengthening of its legal and operational framework. It remains engaged in this process and stands ready to continue a constructive dialogue with a view of enduring, effective, and practical outcomes consistent with international obligations.

Thank you.

MS. YANAGAWA: Thank you for your testimony.

Mr. Roldos, the floor is yours.

MR. ROLDOS: Thank you so much. Chair, members of the Board, my name is Leon Roldos, Under Secretary for Foreign Trade Policy of the Republic of Ecuador. Thank you for the opportunity to appear before you today on behalf of the Government of Ecuador.

Ecuador shares the conviction that goods produced with forced labor should not enter legitimate markets and that governments must adopt effective measures to prevent, detect and remedy such practices. Forced labor is incompatible with human dignity, fair competition, and sustainable trade. On this fundamental point, Ecuador and the

United States of America, are fully aligned.

I would like to use my time today to address three main points.

First, Ecuador's existing legal and institutional framework against forced labor.

Second, the new mechanism Ecuador is developing to address forced labor in imported goods.

And, third, our recent bilateral commitment with the United States on this very issue.

On my first point, Ecuador's Constitution expressly protects the right to dignified and freely chosen work, work that is voluntary, prohibits forced labor, and requires public institutions to safeguard fundamental rights such as the right to liberty, right to work, and right to dignified work.

In this sense, Ecuador has ratified the core international instruments in this area, including ILO Convention Number 29 on forced labor and its protocol, ILO Convention Number 105 on the abolition of forced labor. And I must say that these conventions are also due to our constitutional law. These conventions are directly mandatory to the to the country.

In this sense, our domestic legal system criminalizes human trafficking, labor exploitation, and forced labor practices. Our labor authorities exercise inspection and enforcement powers to supervise working conditions and safer workers' rights. In this framework, this is not merely declarative, Ecuador just had a landmark case in the Furukawa case.

Ecuador’s Constitutional Court recognized severe labor exploitation and practices analogous to slavery affecting agricultural workers back in the latter half of the 20th Century and ordered both reparations for the victims and structural measures to prevent recurrence of this fact.

This ruling reflects Ecuador’s current active judicial commitment to eradicating forced labor and protected vulnerable workers.

For my second point, I would like to state that, at the same time, Ecuador recognizes that the evolution of international trade, which is very dynamic, requires more specific tools to address risks linked to imports and global supply chains.

For that reason, the Government of Ecuador has developed a technical proposal for a national mechanism to restrict the importation of goods produced with forced labor. This proposal has been prepared through institutional coordination among the competent authorities, including the Ministry of Labor, the Ministry of Production, the Ministry of Foreign Trade and Customs Authority. This is aligned with the international best practices and our best examples in the region.

Under the proposed mechanism, the competent national authorities would be empowered to receive and assess credible information regarding imported goods potentially linked to forced labor, conduct technical review processes in coordination with customs and labor institutions, and where justified, adopt preventive trade measures, including suspension restrictions or denial of entry of affected goods.

Lastly, for my third point, I would like to emphasize that, in a recent development, Ecuador has signed an agreement on reciprocal trade with the United States, which, besides certain trade related issues, also emphasizes on work related issues such as the addressing of the imports on forced labor, and also includes a specific mechanism for cooperation between Ecuador and the United States on addressing this matter.

This provision reflects a firm commitment between our two countries to advance responsible trade and strengthen labor protections in the practice. And this is a demonstration that we are moving forward with implementation, even before the agreement enters into force.

In closing, Ecuador reiterates its firm commitment against forced labor, its commitment to effective enforcement, and its willingness to cooperate in good faith with the United States. We respectfully request that the Committee takes Ecuador concrete action, its legal framework, and it’s demonstrated bilateral commitments into account for its report and deliberations.

Thank you very much.

MS. YANAGAWA: Thank you for your testimony.

Mr. Mezarina, the floor is yours.

MR. CASTILLO MEZARINA: Thank you, Chair. Good morning. I'm Jose Luis Castillo, Director General for International Trade Negotiations at the Ministry of Foreign Trade and Tourism of Peru.

On behalf of the Government of Peru, I participate in this hearing convened by the Section 301 Committee reiterating our willingness to engage in technical and constructive dialogue with the U.S. on the issue subject to this investigation. Peru and the U.S. share a longstanding dynamic and mutually beneficial trade relationship, underpinned by the U.S. Trade Promotion Agreement.

Regarding the bilateral trade relationship, Peru respectfully submits that the bilateral trade relationship does not reflect the type of harm that the trade measures would be designed to address.

According to statistics from the U.S. ITC, in 2025, the total value of goods traded between Peru and the U.S. was approximately $23.7 billion. This resulted in a U.S. trade surplus with Peru of approximately $870 million. Over the past 15 years, the cumulative U.S. trade surplus with Peru under the trade promotion agreement has reached approximately $34 billion.

The statistics do not support a finding that Peru's current framework has led to a loss of U.S. exports, lower prices for U.S. goods, or suppressed wage for U.S. workers. Any determination of this kind would need to be grounded in concrete and product specific evidence, and Peru is not aware of such any evidence with respect to its trade regime.

Regarding Peru's commitments to the eradication of forced labor, Peru has ratified the court ILO instruments, the 1998 ILO Declaration Conventions Number 29, 105, 182, as well as the 2014 protocol to Convention Number 29 related to prohibited forced labor.

It should be noted that, within the framework of the bilateral free trade agreement, meetings have been held on a series of institutional mechanisms to address, among other issues, labor matters, demonstrating the existence of formal channels of dialogue for monitoring and cooperation in this area. These mechanisms are activated pursuant to the bilateral agreements for U.S., to which only a limited number of countries, including Peru, have access.

At the constitutional level, Peru expressly recognizes the freedom to work in its constitution.

At the criminal level, the Peruvian Criminal Code classifies forced labor as a criminal offense in addition to disqualification and fines.

At the administrative level, the National Superintendency of Labor Inspection, SUNAFIL, has the authority to impose fines for violation related to forced labor.

This institutional framework is supported by a documented operational track record. In 2024 alone, SUNAFIL carried out over 216,000 preventive actions nationwide related to force and child labor.

Peru also has a National Commission for the Fight Against Forced Labor and has implemented three successive national policy plans over the past 18 years. This is not a framework created in response to this investigation; it is a product of a sustaining whole-of-governmental commitment.

On Peru’s ongoing normative effort on import controls related to this matter, Peru recognizes that the specific instrument of a forced labor import prohibition will be a distinct and important complement to its domestic framework.

This is why, under the leadership of the Ministry of Foreign Trade and the coordination with the Ministry of Labor, the Ministry of Economy, the Ministry of Foreign Affairs and the National Customs Administration, the Government of Peru has developed a bill that would establish an explicit prohibition on the importation of goods produced, in whole or in part, through forced labor.

This bill will be submitted to Congress

for approval, after which regulation will be adopted to ensure its enforcement and oversight. It constitutes a concrete, technically grounded, and interagency normative effort, and we look forward to discussing its progress in the bilateral consultations with the USTR.

We respectfully request that the committee take into full consideration Peru's legal framework, its institutional track record, the regulatory measures adopted and to be adopted, and the commercially favorable nature of the bilateral relationship.

Likewise, Peru considers that the most appropriate and proportionate response to the issues raised in this investigation is to continue the technical dialogue between the parties.

The adoption of additional trade measures by the U.S. that could adversely affect Peruvian exporters and workers may not fully reflect the spirit and framework that both countries have carefully built over the past 15 years under the trade promotion agreement.

In this regard, Peru considers it appropriate to continue promoting cooperation based on a constructive commitment aimed at preserving and further strengthening the bilateral trade relationship, which is about to celebrate the 200th anniversary.

In conclusion, the foregoing demonstrates that Peru has adopted, and continues to adopt measures at addressing issues related to forced labor with political will, thereby evidencing a sustained commitment in this area. Therefore, pursuant to Section 301, the imposition of sanctions on Peru would not be warranted under the present proceeding.

Thank you.

MS. YANAGAWA: Thank you. We will now proceed with questions from the Government panel.

MS. MASTMAN: Good morning. The first question is for Mr. Acevedo Fernandez. Your comments include a list of actions Mexico has taken to strengthen the enforcement of the USMCA forced labor import prohibition commitment.

Can you share additional details about Mexico's exploration of mechanisms to strengthen investigations through information exchange and coordination with the United States?

MR. ACEVEDO FERNANDEZ: Thank you for your question. And I would like to reiterate what I said, and precisely, the USMCA forced labor mechanism is a top priority for the Mexican state.

We have a close coordination with different authorities of the U.S. We have implemented many elements of protocol with 11 indicators taken from the International Labor Organization.

We have put a website that is very transparent, very -- I would say easy, very friendly so that everyone can put a request of investigation. It could be a Mexican or foreign aid entity. It's step by step.

And we have also this joint program with the U.S. authorities that the Ministry of Labor has with the Department of Labor. And we have also technical assistance among both countries. And, of course, we have a very close relationship with the International Labor Organization to make this mechanism much more stronger.

Thank you.

MS. MASTMAN: Thank you. And I have a follow-up question. You mentioned the website for issuing complaints where complaints can be submitted under the Forced Labor Import Prohibition. Can you provide information on any investigations your government has conducted in response to submissions through this mechanism?

And also, has Mexico prohibited the entry of any goods due to forced labor?

MR. ACEVEDO FERNANDEZ: It's very relevant, your question. And actually, yes, there is an active investigation currently underway. Of course, by the confidentiality of those investigation, I cannot disclose any information about them. But, yes, we do have.

MS. ECHEVERRIA: Thank you for your testimony.

This question is for Ambassador Beteta.

And has Guatemala established operational frameworks to enforce a forced labor imports prohibition? If so, please describe them?

AMBASSADOR BETETA: Thank you for your question. Yes, we have joint task forces in every port of entry. Basically, the Ministry of the Interior, the Ministry of Labor, and the Ministry -- and the for Tax and Customs Administrations. They, of course, go after imported goods that -- from companies that have been flagged as a risk. And that's being operational with the support of the U.S. in your own country.

I could, of course, provide you with more, you know, a written statement and more details about it, but the mechanism exists. Those mechanisms are being enforced as well through the new reciprocal trade agreement that we just signed which has specific provisions on this issue and also on protecting international recognized Labor Standards.

MS. ECHEVERRIA: Thank you. And one follow-up question, Ambassador. Guatemala's comments on the record note several frameworks related to Customs cooperation. Have these been used to address the issue of forced labor, whether in Guatemala or in other countries?

Thank you.

AMBASSADOR BETETA: I'm aware that there's an intention of using those frameworks in this direction, but I will -- I don't have the specific details, but I know the discussions are ongoing on how to direct those frameworks and the agencies involved into this area of important, you know, goods from what violations and labor rights.

So, I will provide that in our written statement as well.

MS. ECHEVERRIA: Thank you.

MR. RIGBY: Good morning, thank you all for your testimony. This question is for Mr. Roldos.

In your testimony and some of the submissions prior to the hearing, you described Ecuador's proposed mechanism to operationalize a ban on imports made with forced labor, as on the one hand, a reactive case-by-case investigative scheme, and, on the other hand, as a preventative and risk-based measure rather than a reactive enforcement mechanism.

These two descriptions might seem contrary to each other. Can you please clarify the nature of the proposed implementation mechanism and the extent to which it is reactive and preventive? Thank you.

MR. ROLDOS: Yes, thank you for your question. What Ecuador has stated is that it is applying both an ex-ante and an ex-post mechanism for investigating these claims. Also establishing a prohibition on the import of goods produced with forced labor.

The extent to which we will address through implementation of, first, cooperation with the United States and third countries regarding information and sharing and investigation capabilities for these issues, technical capabilities, technological capabilities.

And also, with the claims for our private sector, other countries regarding specific practices that have been detected for Ecuador to address them and also establish prohibitions on.

I can give you more -- a more detailed answer in my comments, given that as of today, the Committee on Foreign Trade, which has to establish the trade regulations regarding this matter, has been summoned to make a decision on this mechanism. So, after that, I can also provide more information on my comments.

MR. RIGBY: Thank you very much. And that was -- my follow-up was on the timeline for the proposed implementation mechanism, if you could keep us informed about estimated timelines or deadlines and share when available.

MR. ROLDOS: Yes, of course. As I told you, today, the Committee has been summoned. They should take the decision and it should be published on our National Bulletin. It's like the official registry for laws. And then we will proceed to work on its implementation in the following, I would say, 90 days, 90 to 120 days with the additional institutions that have -- that are necessary for this purpose.

MR. RIGBY: Thank you.

MR. HUFFMAN: Thank you. This question is for Mr. Castillo.

Peru’s comments detail certain international commitments and national laws regarding efforts to combat forced labor domestically and with trade partners.

Do these laws, or any other measure maintained by Peru, include authority to collect information on or take action and comment on forced labor that takes place outside of Peru? If so, what is the legal authority and what institutions are involved?

MR. CASTILLO MEZARINA: Thank you for the questions. In our submission, we commented on national regulation and international commitments regarding combat on forced labor nationwide internally.

But we are working on a bill, and we have already, at the Executive Branch, worked on a bill for prohibiting imports related forced labor.

So, that -- at the level of the Executive Branch, we have finalized it, but we have to submit it to Congress for approval. And that’s the status, we as – the Executive Branch will submit to Congress for approval.

And after approval, the Executive Branch will continue working on the detailed regulation in order to enforce it.

MR. HUFFMAN: Thank you. Do you have any sort of timeline on what that process takes?

MR. CASTILLO MEZARINA: So, the draft law was worked last week so among different ministries, and so, the Ministry of Labor, the Customs Authority, the Ministry of Economy, Ministry of Foreign Trade and Tourism.

So, we have to submit it to Congress. So, we expect that, in the following months, Congress could review it and approve it, but we depend on timelines of Congress.

MR. HUFFMAN: Thank you.

MS. YANAGAWA: Thank you all for your

participation today. Given that we are ending quite early, we would propose to move through lunch and move to the next panel and take a five-minute break to set up for the next panel.

This panel is released, thank you. And I would like to add that we'll resume at 11:58 or noon -- let's say at noon.

(Whereupon, the above-entitled matter went off the record at 11:52 a.m. and resumed at 12:00 p.m.)

MS. HASANDRAS: Hello, everyone. We will now proceed with Panel 11. We have some new representatives joining us, so before we begin, I will give them an opportunity to introduce themselves.

MS. OETKIN: Hi. I'm Jennifer Oetkin,I'm with the Office of the U.S. Trade Representative. I'm in the Office of Labor Affairs.

MR. REID: Nate Reid. I'm with the Department of Homeland Security, Office of Policy.

MS. CHERNOV: Betsy Chernov with the Office of Manufacturing and Trade, Small Business

Administration.

MS. RESNICK: Hi. I'm Bonnie Resnick, Department of the Treasury, Office of Trade and Investment Policy.

MR. RIGBY: Crispin Rigby, Department of Labor, Office of Trade and Labor Affairs.

MS. HASANDRAS: Thank you. And I'm Rachel Hasandras, Assistant General Counsel with USTR.

We will now proceed with testimony from Panel 11. Ms. Zang, you have the floor.

MS. ZANG: Thanks for the opportunity to testify today. My name is Michelle Zang. I'm a law professor and serving as external consultant of the China Chamber of International Commerce, the CCOIC.

Our member companies are participants in U.S.-China supply chain, supplier to U.S. importers and manufacturers, and direct investors in the United States. So we have a substantial interest in this investigation as it concerns the People's Republic of China. This testimony responds to the questions enclosed in the Notice of Initiation and addresses the legal and evidentiary issues that must be resolved before any determination on the actionability.

China maintains a comprehensive legal framework prohibiting forced labor. Domestically, the Chinese Criminal Law, Labor Law, Labor Contract Law provide explicit, solid legal authorities against forced labor. Internationally, China ratified ILO Forced Labor Convention and ILO Abolition of Forced Labor Convention in 2022.

China does not maintain a standalone forced labor import ban. However, the absence of this import ban is not an outlier Chinese practice. Instead, it is a regulatory policy choice unique to the United States, not a common practice accepted among the international community of the states.

The relevant provisions under Section 301 were drafted to address government that tolerate forced labor practice within their territories, not government that failed to adopt a specific format of import control mechanism. To interpret absence of an import ban as persistent pattern of permitting forced labor would transform Section 301 into a mandate for global regulatory harmonization with U.S. standards, which Congress did not authorize.

Furthermore, the absence of import ban is not unfair and inequitable. There are no international treaties, conventions, or agreements that require countries to enforce import ban as part of their regimes against forced labor. Instead, major international instruments focus on the elimination of forced labor practice or individual rights against forced servitude, not trade policy. The U.S. specific regulatory tool cannot be considered as a baseline for fairness and equity.

At the moment, China is the most heavily tariffed origin in U.S. import history. The investigation must demonstrate what incremental and extra burden China's lack of enforced import ban causing to the U.S. commerce that the current tariff regime has not yet addressed. The Notice of Initiation does not attempt this analysis.

The notice also highlights the cost

asymmetry caused by forced labor to establish the burdens caused to the United States commerce, the investigation must identify which specific forced labor produced products entered China and which specific U.S. export compete with the mentioned product in the Chinese market. Without such product-specific evidence, the theory of harm appear speculative. Therefore, we respectively request this investigation as to China should be terminated.

As mentioned above, the investigation lacks sufficient legal foundation under Section 301. Furthermore, any resulting tariffs from this investigation would not only violate U.S. commitment as WTO, burden U.S. commerce, but also fail to address any forced labor practice at its source.

Launched only 19 days after the Supreme Court ruling in Learning Resources, this investigation also raises serious legal questions. If the true purpose is to replace IEEPA tariffs, this pretextual action would be vulnerable --

Administrative Procedure Act and the major questions doctrine.

If the investigation's genuine purpose is to expand global enforcement against forced labor, more effective and proportionate means do exist, including bilateral negotiation, multilateral engagement through ILO and WTO, as well as technical cooperation with partner countries. Unfortunately, this investigation is not part of them.

Thanks for your attention and looking forward to the questions.

MS. HASANDRAS: Thank you, Ms. Zang.

Ms. Kusumadewi, you have the floor.

MS. KUSUMADEWI: Yes, thank you for the opportunity. My name is Ranitya Kusumadewi. I'm the Trade Attache at the Embassy of Indonesia here in Washington, D.C., and I'm here to represent the Government of Indonesia.

Chair and members of the Section 301 Committee, Indonesia and the United States share a positive and constructive bilateral trade relationship. Our presence here is a testimony to our commitment to promote our economic relations. I would like to, therefore, read the following Indonesia's principled positions regarding the matter we discussed, as contained in our written submission.

Indonesia has established a comprehensive and enforceable framework to prevent and eliminate forced labor grounded in criminal law, labor oversight, penal code, labor inspection, and sector-specific governance, and implemented at scale across the national economy. This framework directly addresses the conditions reflected in the ILO's 11 indicators of forced labor by integrating them into inspection, compliance, and enforcement mechanism, ensuring that risks are systematically identified and addressed.

This commitment is further reflected in Indonesia's trade regulatory framework. In particular, Indonesia has issued Minister of Trade Regulation Number 9 of 2026, which expressly prohibits the importation of goods produced with forced labor.

Indonesia submits that the identification of such indicators, where they arise, leads to corrective and enforcement actions within its domestic system and does not in itself constitute evidence of systematic or tolerated forced labor. Reliance on these indicators are -- as a basis for countrywide trade measures would therefore be inconsistent with their intended purpose and unsupported by evidence.

Indonesia's approach remains nondiscriminatory, aligned with international practice, and not associated with measurable distortions to trade or U.S. commerce. It reflects a policy design that is responsive to the global and sector-specific nature of forced labor risks emphasizing prevention, enforcement, and cooperation.

Accordingly, Indonesia submits that it should not be subject to any tariffs or measures under Section 301, as such measures are not required where a foreign country has entered binding commitments to address the relevant concerns.

Indonesia remains committed to continuously strengthen its framework and engaging constructively with international partners to address forced labor as a shared global priority, while ensuring that any policy response remain transparent, targeted, evidence-based, proportionate, and developed in a manner that respects international obligations and avoids unnecessary restrictions on trade.

Thank you.

MS. HASANDRAS: Thank you. Mr. Do, you have the floor.

MR. DO: Well, hello, good morning, distinguished representatives of the Section 301 Committee. My name is Do Ngoc Hung, commercial counselor, Head of Vietnam Trade Office, Embassy of the Vietnam in the United States. And thank you for this opportunity to provide Vietnam's opinion regarding the investigation.

So Vietnam and the United States maintain a close and mutually beneficial partnerships, grounded in cooperation, to address shared economic and strategic priorities, including efforts to address forced labor related concerns. As we detail in our written commitments and submissions, Vietnam has established a comprehensive and coherent frameworks to prohibit and eliminate forced labor domestically.

At the legal level, forced labor is expressly prohibited under the constitutions and the Labor Code. Violations are subject to both administrative and criminal sanctions, including significant fines and imprisonment. At the institutional level, competent authorities conduct inspections and enforce strict compliance. We use technology solutions to support risk management and enhance traceability in trade flows.

Importantly, Vietnam's framework addresses not only forced labor itself, but also the underlying practices that give rise to recruitments, wage withholding, and restriction on workers' freedom of movement.

In addition to those domestic efforts,

Vietnam engages constructively in the international efforts to eliminate forced labor in global supply chains. And Vietnam is a party to core international labor organizations conventions, including Convention Number 29 on Forced Labor and Convention Number 105 on the Abolition of Forced Labor.

Vietnam has also undertaken binding commitments under its major trade agreements to eliminate forced labor, promote trade labor rights, and discourage the importation of goods from other sources produced in whole or in part by forced or compulsory labor. Vietnam is also actively cooperating with U.S. authorities, CBP, in addressing forced labor risks in supply chains. This includes technical exchanges and workshop with CBP and other U.S. agencies, information sharing and dissemination of U.S. regulatory recruitment -- requirements to Vietnamese enterprises.

And these cooperative efforts have improved the capacity of enterprises to implement supply chain due diligence and traceability measures. As a result, enterprises operating in Vietnam, including leading global companies that export to the U.S., have adopted robust supply chain controls aligned with UFLPA requirements.

With regard to UFLPA, CBP data indicates significant improvement in compliance with the value of Vietnamese shipments linked to forced labor concerns decreasing by approximately 98 percent from $78.8 million in 2022 to $1.4 million in 2025. And this shows that the Vietnam current framework is effective in addressing forced labor risks.

Regarding forced labor risks in Vietnam exports to the United States, we also know that certain figures cited in other comments for in this -- for this investigation have been exaggerated, and they largely reflect shipments that were ultimately released after being found not to be associated with forced labor.

In addition, garments containing cotton, that the only product category identified as a potentially associated with forced labor risk by the U.S. Department of Labor. In practice, however, the majority of cotton used in Vietnam's garment sectors, including for garments exported from Vietnam, is imported from the United States.

And, more broadly, Vietnam submits that forced labor in supply chains is a transnational issue that cannot be effectively addressed through unilateral measures alone because of constraint in practical and judicial limitations. And effective enforcement depends on the credible information sharing and cooperation between authorities.

In this context, international cooperation, rather than unilateral trade restrictions, provide a more effective and sustainable solutions. In this way, Vietnam is focusing its policy efforts.

Regarding this investigation, Section 301 requires a showing of unreasonable conduct that burden or restrict U.S. commerce. However, there is no such evidence in this case regarding Vietnam. And as mentioned earlier, we are actively working with the U.S. government to eliminate the risk of goods produced with forced labor from being from being produced in and exported from Vietnam.

In our country, we have a highly integrated and mutually beneficial trade and supply chain relationships. And we stand ready to continue our dialogues and technical cooperation to ensure that our trade remains free, fair, and forced labor free. And therefore, we respectfully request that USTR find that no trade action is warranted.

And thank you for your attention today.

MS. HASANDRAS: Thank you for your testimony. Mr. Hermina, you have the floor.

MR. HERMINA: Thank you. Good afternoon. My name is George Hermina, and I have the honor of representing Egypt, a country of 106 million people, a proud strategic partner of the United States for decades, and a country deeply committed to the dignity and the protection of every worker within its border.

Egypt and the United States share a common goal, the elimination of forced labor from global commerce. Egypt is already a committed partner in that effort, and that -- this investigation present an opportunity to deepen the cooperation, not fracture it.

The question the Committee is asked to answer is whether Egypt has failed to prohibit, to enforce a ban on goods produced with forced labors. The answer is supported not only by Egyptian laws and enforcement, but it's also supported by independent international evidence, the U.S. government data, and a verified enforcement record.

Let me begin with Egypt has -- what Egypt has built into its law. The Constitution of Egypt prohibits forced labor at the highest level of the legal order. The anti-trafficking Statute Law Number 64 of 2010 is among the most comprehensive in the Middle East and North Africa region. It criminalizes every form of coercive labor, established specialized prosecutors and dedicated courts, and meets and exceed the Palermo Protocol standard.

There are no -- these are not aspirational declarations; they are actively enforced law. They have produced real accountability. I can give many examples. There are 308 defendants that were convicted in forced labor law and trafficking cases, and we have made these submissions and have shown these specific cases.

There has been -- Egypt has the control system anchored in Ministerial Decree Number 43 of 2016, requires every foreign manufacturer seeking to sell covered goods in Egypt to register, certify, and to be verified by internationally accredited bodies before a single shipment may enter. It's prevention at its source, precisely the outcome that this statue seeks.

Laws mean nothing without enforcement. Over the past three years, Egypt's Ministry of Labor deployed inspectors to every government of the -- in the country, the manufacturing plant, the textile factories, agricultural sites, and service establishments. There has been approximately 990,000 establishments inspected. This covers 6.4 million workers, and conviction rates on cases that are brought and prosecuted are 90 percent.

Egypt is deeply grateful for the

partnership with the United States in strengthening this work. Five hundred and eighty-eight of the labor inspectors have been specifically trained to identify forced labor indicators through a technical cooperation program with the International Labor Organization, which is funded by the U.S. Department of State. That is the definition of bilateral cooperation working as it should.

We have submitted examples with our submission of the Court of Cassation, the conviction and imprisonment of defendant who trafficked children to remote farms, forced them to labor, and withheld their wages. Egypt's courts applied the laws without any compromise, and the convictions stand.

Now let me show what independent international bodies found when they looked directly at Egypt's export factories. The ILO and the World Bank International Finance Corporation jointly operate Better Work Egypt, an independent assessment program that conducts unannounced two-day factory visits, interview workers directly, and reports its finding without input from the Egyptian Government. In 2023, they assessed 60 Egyptian garment factories employing over 56,000 workers, and they found zero cases of forced labor.

The 2026 National Trade Estimate Report, USTR's own congressionally-mandated comprehensive annual review of foreign trade barriers, contains full chapters on -- a full chapter on Egypt, it surveys, custom procedures, standard certification framework, and market access condition. The 2026 NTE raises no labor heading for Egypt, no forced labor allegation, no finding of enforcement failure. The same report names such failures explicitly to other economies.

And I know I have to wrap up. We request that the -- respectfully request that this Committee recommends no action under Section 301 and look forward to a deepened partnership with the United States. Thank you.

MS. HASANDRAS: Thank you, thank you, Mr. Hermina. Dr. Nedumpara, you have the floor.

MR. NEDUMPARA: So, Madam Chair and members of the Section 301 Committee, so thank you for the opportunity to testify today. My name is James Nedumpara, Head of the Centre for Trade and Investment Law established by the Minister of Commerce and Industry in New Delhi, India.

I am appearing on behalf of the Government of India in response to the Initiation Notice of Section 301 investigation relating to failure to impose and effectively enforce a prohibition on the importation of goods produced with forced labor. At the outset, India wishes to state that it takes the elimination of forced labor seriously as a matter of constitutional obligation, as a matter of international law, and as a matter of principle.

India has ratified ILO Convention Number 29 on the Forced Labor, Convention Number 105 on its abolition as well. Article 23 of the Constitution of India prohibits trafficking in human beings and other forms of forced labor, and it's enforceable against both state and private actors.

India's domestic legal framework, the Bonded Labor System Abolition Act, 1976, Section 140 to 146 of the Bharatiya Nyaya Sanhita, which is the successor to the Indian Penal Code, the Securities and Exchange Board of India, SEBI, Business Responsibility and Sustainability Reporting, BRSR, framework, all these instruments reflect a comprehensive and progressive national commitment on this issue.

In light of India's genuine engagement on forced labor issues, India strongly contests the legal and factual basis of this of this investigation. Let me come to the three elements which I would like to highlight.

First, the investigation does not satisfy the statutory threshold for self-initiation. Section 332, Section B, Subsection -- Paragraph One, Subparagraph A of the Trade Act of 1974 requires the U.S. Trade Representative to make an initial determination that a specific act, policy, or practice of a foreign country warrants investigation in order to assume or to initiate an investigation. The initiation notice does not identify any such act with respect to India.

In light of the fact that no specific act, policy, or practice pertaining to India has been identified, any determination by the USTR regarding the elements of unreasonableness and discrimination is likely to suffer from procedural infirmity and therefore is legally untenable.

Notwithstanding the proposition, Section 301 of the Act defines unreasonable act, policy, or practice as one which constitutes persistent action or persistent pattern of conduct which permits any form of forced or compulsory labor. The meaning of persistent clearly implies that the conduct of the state should be continuous and must result from willful action or inaction to do something.

Further, a state action or inaction can qualify as an attributable conduct under the forced labor standard only within the territory where its effects are felt. Insofar as India's constitutional and statutory framework is concerned, forced labor is prohibited in all its forms within its territory. The absence of an express prohibition on importation of goods produced from forced labor cannot constitute a persistent pattern of conduct on the part of India that permits forced labor in other countries.

Second, the appropriate action forum for forced labor standards is the International Labor Organization. The international regime on forced labor is governed by the legally binding framework under the ILO, with a robust and comprehensive supervisory mechanism, periodic reporting obligations, and progressive implementation process. The ILO is uniquely placed to monitor and implement these standards across the -- all ILO members.

India notes that a unilateral Section 301 action is neither necessary nor appropriate where a comprehensive multilateral framework already exists and where India is an active participant in good standing.

The third aspect, the absence of

restriction on importation of goods made from forced labor does not confer comparative advantage to Indian exporters and therefore does not establish the element of burden on the United States commerce. Evidence across sectors of major exports of India to the United States does not suggest any linkage with forced labor inputs nor can India's enforcement of forced labor standards be treated as conferring any competitive advantage to Indian exporters to the detriment of the United States industry.

In conclusion, in view of the passage of time, I would like to say that the United States make a negative determination with respect to India and should terminate this action. Further, India and the United States are currently engaged --

MS. HASANDRAS: Dr. Nedumpara, your time has expired.

MR. NEDUMPARA: Yes -- are currently engaged in a bilateral trade negotiation, and this action should be terminated.

MS. HASANDRAS: Dr. Nedumpara, I'm sorry, your time is expired. Thank you.

MR. NEDUMPARA: Thank you.

MS. HASANDRAS: At this time, we will proceed with questions from the Government panel.

MS. YU: Good afternoon. This question is directed to Michelle Zang. In your written testimony, you note that most countries do not currently maintain a forced labor import prohibition, yet some do. And we have heard from numerous trading partners about their efforts to either establish or effectively enforce such a mechanism.

A few questions here, does China have plans to establish a forced labor import prohibition? If yes, could you describe how the members you are representing are supporting that process? And if not, could you describe the business community and your members' position on establishing a forced labor import prohibition?

MS. ZANG: Thanks for the question. Unfortunately, I'm not representing the Government of China, so I have no comment on whether China is establishing any plan on the import ban on forced labor products.

And I would like to highlight one point, though, on behalf of CCOIC, the China Chamber of International Commerce, is that, first of all, CCOIC rejects any unfounded accusation of forced labor practice in China. As mentioned, China has established a comprehensive legal framework against forced labor, and the Chinese authority has reacted and investigated reported forced labor practice.

Point number two is that the subjects of this investigation is absence of import ban, and import ban is not part of any international obligation imposed on the states of under ILO or under WTO. So we appreciate the regulatory policy in uniqueness of the United States to enforce such a ban, but China is not under the obligation to do so.

We are all -- from the perspective of CCOIC, is holding the view that the absence of import ban is not justifiable basis under Section 301 and is not international obligation on part of Chinese Government, and any resulting tariffs will be in violation of WTO law as well as U.S. law alike. Thank you.

MS. YU: Thank you.

MS. CHERNOV: This question is for Ms. Kusumadewi. The public comments submitted by your government note that Indonesia's Ministry of Trade has just issued a regulation that prohibits the importation of forced labor derived products, as well as stipulates a mechanism for allegation reporting, investigation, and oversight.

Can you provide more detail on the time frame and process for fully implementing this new regulation?

MS. KUSUMADEWI: Thank you for the question. Correct, that Indonesia has established the Minister of Trade Regulation Number 9 of 2026. This is part of Indonesia's broader domestic regulatory reform agenda, including follow-up measures to the omnibus law on job creation framework starting in 2020 and Indonesia's ongoing effort in the context of its OECD accession process.

The regulation provides the legal basis

to prohibit the importation of goods produced with forced labor, including mechanisms for reporting, verification, investigation procedures, and oversight, thereby enabling enforcement in the context of importation. And this is supported by Indonesia's broader legal framework that prohibits and criminalizes forced labor, as well as to ensure enforcement through labor, criminal, and human rights law.

The technical regulation is currently under development and will be issued in the near term. This is also a priority concern for Indonesia, and more details -- we are ready to provide additional information on this following the hearing, and we remain fully open to continued constructive dialogue with the U.S.

MS. CHERNOV: Thank you.

MR. RIGBY: Thank you all for your testimony. This question is for Mr. Hung Do. In the public comments submitted by your government, the Government of Vietnam indicated that it does not have a forced labor import prohibition but relies instead on domestic enforcement mechanisms.

Would you elaborate on whether the relevant Vietnamese enforcement authorities are able to investigate, prevent, or deny entry of imported goods produced by forced labor?

And if you could, please share any examples of Vietnamese authorities detecting and prohibiting imports of goods that are suspected to have been made with forced labor. Thank you.

MR. DO: Thank you, Chair. So we would like to elaborate a little bit more on this, I mean, topic. So, Vietnam has robust domestic legal frameworks prohibiting forced labor. The Constitution protects the right to work and prohibits forced labor, like the 2019 Labor Code strictly prohibits and define forced labor in line with ILO Convention Number 29, and the Labor Code and the penal code criminalize forced labor related acts and human trafficking.

So Vietnam remains committed to international recognized labor standards and maintain technical cooperation with the U.S.

Customs and Border protections.

And, for instance, Vietnam regulatory frameworks now require publicly list the companies to disclose their ESG policy in annual reports. And, notably, most U.S. importers require that their suppliers adopt international standards like SA8000, particularly in high-risk sectors such as textile, garments, and leathers, reflecting a strong private sector shift towards ethical supply chain.

And if we look at the data, I mean shown by CBP, so in 2022 we got the concern over the shipment associated with forced labor from --down from $78 million down to $1 million in 2025, and only $218,000 in the first four months of 2026. And this demonstrates improved internal controls and proactive compliance by Vietnamese industries. And we do have CMAA cooperation with CBP, and we are looking forward to a productive engagement and consultation with the U.S. government.

MR. RIGBY: Great, thank you very much.

MS. RESNICK: This question is for Mr.

Hermina. The written submission asserts that Decree 43 of 2016, among other measures, achieves the same functional outcomes as an import ban, namely through a series of certification requirements.

A few questions, can you direct us to the specific provision of the decree or other instrument which speaks to labor and forced labor requirements? Are foreign goods produced with forced labor classified as non-compliant goods under the law? And finally, has Egypt prohibited the entry of any goods due to forced labor?

MR. HERMINA: I apologize, I couldn't hear the specific --

MS. RESNICK: Sure, I can repeat. So, a few questions, can you direct us to the specific provision of Decree 43 of 2016 or other instrument which speaks to labor and forced labor requirements? And then are foreign goods produced with forced labor classified as non-compliant goods under the law? And has Egypt prohibited the entry of any goods due to forced labor?

MR. HERMINA: Yes, with regard to the law, I believe we've submitted in the attachment. If we did not, I will be glad to supply that. With regard to Egypt's prohibition on imports, we have -- Egypt has a significant registration framework for pre-import registration manufacturer with documented verification of the legal identity, production scope, and a quality control system. Egypt only registers certified manufacturers that can export. The system creates the traceable, auditable records of the sources of all covered imports.

On the export side, Egypt, and particularly in the apparel and the home textile, Egypt maintains documented supply claims at four levels, and those are consistent, by the way, with the U.S. CBP record-keeping requirements, the transaction level, at the supplier level, at the production level, and the shipment level.

In addition, the QIZ companies that operate under the U.S. Custom Border Protection align documentation standard the same standard as

U.S. CBP. QIZ factories maintain comprehensive documentation, including raw material records, purchase orders, invoices, bills of lading, receiving record, and they do that for a period of five years. So all of these records are maintained for all -- everything that's coming into the country and leaving the country.

MS. HASANDRAS: This question is for --

(Simultaneous speaking.)

MS. HASANDRAS: Mr. Hermina, just a quick follow-up question for you. The decree you cite, law 40 -- Decree 43 appears to concern trademarks. Is there a particular provision concerning forced labor that we can reference?

MR. HERMINA: Again, I'm sorry. I can't hear.

MS. HASANDRAS: The law you referenced, Decree 43, appears to concern trademarks. Is there a particular provision concerning forced labor that we can reference?

MR. HERMINA: The law -- again, I believe we've supplied that in the attachments. If we have not, I will make sure that we attach that.

MS. HASANDRAS: Thank you.

MR. HERMINA: Thank you.

MS. CHERNOV: The next question is for Professor James Nedumpara. In your written comments, you note that across several industries there has been an adoption of responsible sourcing, supply chain monitoring, and zero tolerance policies. Do Indian laws or regulations require industries to employ these practices, or are these voluntary practices, self-imposed by industry itself?

If violations are found, is there any obligation for companies to report findings to the Government of India? And what actions does the government take in response?

MR. NEDUMPARA: Thank you, Madam, for that question. So I recall one statement in the last TVPRA report that mentions that tracing forced labor incidents in third countries is not an easy task. And India's approach has been consistently a kind of a soft, slow approach.

In our written submission, we very clearly mentioned that the Securities and Exchange Board of India has adopted the BR, it's our regulations of the framework that is -- that is not hard law, but it is actually a kind of a soft law. And our approach has been to encourage the industry to go for third-party reports, global certification, traceability systems, and responsible sourcing.

Some of these requirements are encouraged through government framework. So that is why we refer to the SEBI BRSR. And there is another instrument called the National Guidelines on Responsible Business Conduct, the NGRBC, that also provides a voluntary framework.

In addition to that, the government has been supporting various export promotion councils which are funded by the government in order to identify the incidents of forced labor or child labor in third countries and make sure that the supply chains are made clean.

Thank you. We can also provide additional in our second submission.

MS. CHERNOV: Thank you.

MS. HASANDRAS: No more questions from this panel. This concludes Panel 11.

Just as a reminder, the USTR comments portal is now open and accepting post-hearing rebuttal comments until May 6th. Thank you to our witnesses for your views and for your testimony, and thank you for your interest in participating in this hearing. We're adjourned.

(Whereupon, the above-entitled matter went off the record at 12:38 p.m.)

C E R T I F I C A T E

This is to certify that the foregoing transcript was duly recorded and accurately transcribed under my direction; further, that said transcript is a true and accurate record of the proceedings; and that I am neither counsel for, related to, nor employed by any of the parties to this action in which this matter was taken; and further that I am not a relative nor an employee of any of the parties nor counsel employed by the parties, and I am not financially or otherwise interested in the outcome of the action.

Connor Banks

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